



HIGH COURT OF JUDICATURE AT ALLAHABAD
ARBITRATION AND CONCILI. APPL.U/S11(4) No. - 28 of 2026

M/S Ambuja Cements Limited

.....Applicant(s)

Versus

Uttar Pradesh Power Corporation Limited (Uppcl)

.....Opposite
Party(s)

Counsel for Applicant(s)	:	Shivam Pandey
Counsel for Opposite Party(s)	:	Abhishek Srivastava

Court No. - 7

HON'BLE PIYUSH AGRAWAL, J.

1. Heard Sri Vivek Kumar Singh holding brief of Sri Shivam Pandey, learned counsel for the applicant and Sri Abhishek Srivastava, learned counsel for the respondent.
2. The instant application has been preferred under Section 11(6) of the Arbitration & Conciliation Act, 1996 for appointment of a sole Arbitrator.
3. Learned counsel for the applicant submits that on 26.05.2017, an agreement was executed between the parties for supply of electrical energy. The dispute arose between the parties with regard to the penalty imposed for alleged delay in depositing the security amount. Therefore in pursuance of the agreement, an arbitration notice was sent by the applicant on 15.11.2025. Hence the present application has been filed for appointment of new Arbitrator in exercise of powers under Section 11 (6) of the Arbitration and Conciliation Act, 1996.
4. Sri Abhishek Srivastava, learned counsel for the respondent submits that no issue arises in pursuance of the agreement dated 26.05.2017 as the penalty has been imposed as per U.P. Electricity Supply Code, 2005. He further submits that as per UPERC (Consumer Grievance Redressal Forum and Ombudsman) Regulations, 2003, as amended from time to time, the applicant is required to approach the Grievance Committee under Clause 7.7.1 to 7.7.5 of the said regulation. He further submits that the applicant has not exhausted the remedy as per Clause 7.10 of the U.P. Electricity Supply Code, 2005 as well as Cost Data Book issued by U.P. Electricity Regulatory

Commission in terms of U.P. Electricity Act, 2003 and U.P. Electricity Supply Code, 2005. He further submits that the penalty has been imposed in view of the aforesaid supply code, therefore, the present application is not maintainable.

5. Rebutting the said submission, learned counsel for the applicant submits that it is not in dispute that the bank guarantee has been furnished in terms of the agreement dated 26.05.2017, therefore the dispute exists.

6. The existence of dispute has not been denied by the counsel for the opposite party and they also consented for resolving the dispute between the parties by the new Arbitrator appointed by this Court.

7. Having heard learned counsel for the parties, the scope of the present proceedings under Section 11 of the Act does not require any elaboration in view of that position in law having been made crystal clear by a recent three judge decision of the Supreme Court in the case of **M/S Mayavati Trading Pvt. Ltd. Vs. Pradyut Deb Burman, Civil Appeal No. 7023 of 2019, decided on 05.09.2019** in which it has been held as below:

"This being the position, it is clear that the law prior to the 2015 Amendment that has been laid down by this Court, which would have included going into whether accord and satisfaction has taken place, has now been legislatively overruled. This being the position, it is difficult to agree with the reasoning contained in the aforesaid judgment as Section 11(6A) is confined to the examination of the existence of an arbitration agreement and is to be understood in the narrow sense as has been laid down in the judgment Duro Felguera, S.A. (supra) -- see paras 48 & 59."

8. While laying down that law, the Supreme Court had itself referred to paragraph nos. 48 & 59 of its earlier decision in the case of **Duro Felguera, S.A. Vs. Gangavaram Port Ltd., (2017) 9 SCC 729**.

9. That position in law has been reiterated in a recent decision of the Supreme Court in **GOQII Technologies Pvt. Ltd. Vs. Sokrati Technologies Pvt. Ltd., (2025) 2 SCC 192**.

10. In the facts of the present case, on prima facie basis, it has to be accepted that there exists an arbitration clause, between the parties. Also, it is clear

that the parties have not been able to appoint consented arbitrator and therefore, the appointing authority has to be assumed by this Court upon the present application brought before it, within limitation.

11. At the same time, no final conclusion is being drawn as may affect the merits of the claim. That matter would remain to be considered by the appropriate forum at the appropriate stage, upon claim, objection, challenge or appeal being filed. Thus, amongst others it would remain open to the opposite party to raise all objections as the Act permits.

12. Leaving that course completely open to the respective parties, at present, only a forum is being provided for adjudication of a claim proposed to be raised and resisted, in accordance with the law.

13. Accordingly, with the consent of learned counsel for the parties, **Mr. Justice Sudhir Agarwal, Former Judge of High Court, Allahabad, R/o A-402, Aditya Mega City, Vaibhav Khand, Indirapuram, Ghaziabad (Mob. No. 9415217232)** be appointed the sole arbitrator for resolution of the disputes between the parties, subject to his consent under Section 11(8) of the Act.

14. The Registry is directed to obtain consent of the proposed learned arbitrator, in terms of Section 11(8) of the Act, within three weeks.

15. List again on 14.07.2026.

(Piyush Agrawal,J.)

May 26, 2026

Abhishek Gupta